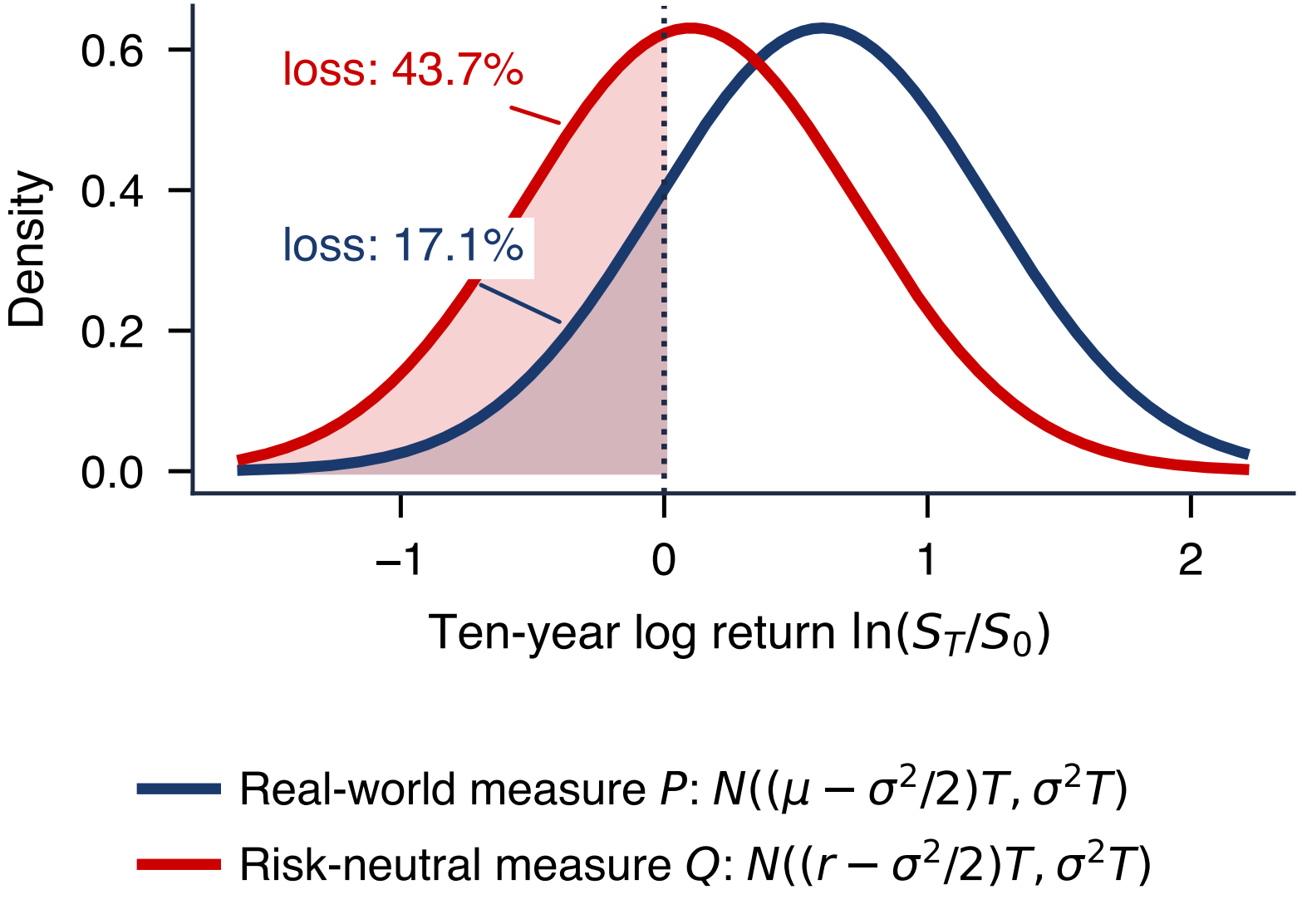
loss: 43.7%
loss: 17.1%
Density
0.6
0.4
0.2
0.0
−1
0
1
2
Ten-year log return $\ln(S_T/S_0)$
Real-world measure $P$: $N((\mu - \sigma^2/2)T, \sigma^2 T)$
Risk-neutral measure $Q$: $N((r - \sigma^2/2)T, \sigma^2 T)$